No. 18-0918

October Term 2018

In the

Supreme Court of
the United States

Steven Vin Sant, Chapter 7 Trustee,
Petitioner,

v.

Milton Weinberg,
Respondent.

ON WRIT OF CERTIORARI TO
THE UNITED STATES COURT OF APPEALS
FOR THE THIRTEENTH CIRCUIT

BRIEF OF RESPONDENT, MILTON WEINBERG

Team 44R
Counsel for the Respondent

QUESTIONS PRESENTED

(1) Whether a proper reading of 11 U.S.C. § 362(a)(3) results in a violation if a secured creditor passively retains possession of collateral that it lawfully repossessed from the Debtor prior to the petition date in order to seek adequate protection from the court of its rights?

(2) Whether 11 U.S.C. § 503(b) allows a bankruptcy court to grant administrative expense fees to a secured creditor who substantially contributes to the bankruptcy estate by investigating the Debtor's fraudulent transfers, enabling the Petitioner to recover a substantial amount of those fraudulent transfers in a case under chapter 7 of the Bankruptcy Code?

TABLE OF CONTENTS

QUESTION PRESENTED…….. i
TABLE OF AUTHORITIES……..iv
OPINIONS BELOW…….. vi
STATEMENT OF JURISDICTION…….. vi
STANDARD OF REVIEW……....vi
STATUTORY PROVISIONS INVOLVED…….. vi
STATEMENT OF FACTS…….. 1
SUMMARY OF THE ARGUMENT…….. 3
DISCUSSION……..8

I. THIS COURT SHOULD AFFIRM THE DECISION OF THE THIRTEENTH CIRCUIT COURT OF APPEALS TO FIND THAT PASSIVE RETENTION OF PROPERTY REPOSSESSED PREPETITION DOES NOT VIOLATE THE AUTOMATIC STAY PROVISION 11 U.S.C. 362(A)(3) BECAUSE THE STATUTORY LANGUAGE, HISTORY OF THE TEXT, AND CONGRESSIONAL INTENT DO NOT SUPPORT A VIOLATION……8

A. Reading the Statute According to Its Plain Language and In Context of the Bankruptcy Code In Its Entirety Indicates that Passive Retention Is Not a Violation of the Automatic Stay ……..…… 10

i. According to the Plain Language of 11 U.S.C. § 362(a)(3), Prohibiting an "Act" Connotates Prohibition of Affirmative Conduct Indicating That Passive Retention Is Not a Violation…… 10
ii. 11 U.S.C. § 362(a)(3) Cannot Include Passive Retention of Property As a Violation of the Automatic Stay When Read In Context of the Bankruptcy Code In Its Entirety……12

B. Permitting Passive Retention Under the Automatic Stay is Consistent with the Legislative History of the Bankruptcy Code and Congressional Intent……..16

II. THIS COURT SHOULD AFFIRM THE DECISION OF THE APPEALS COURT TO GRANT ADMINISTRATIVE EXPENSES FOR WEINBERG IN A CASE UNDER CHAPTER 7 OF THE BANKRUPTCY CODE BECAUSE THE STATUTORY LANGUAGE, CONGRESSIONAL INTENT AND PRINCIPLES OF EQUITY BASED ON THE TOTALITY OF CIRCUMSTANCES ALL SUPPORT AN AFFIRMATIVE GRANT UNDER SECTION 503(B)……...19

A. The Statutory Language and Construction Implicitly Supports an Award of Administrative Expenses in a Chapter 7 Case Where as Here, Respondent Makes a Substantial Contribution for the Benefit of the Estate…….22

B. The Award of Administrative Expenses to Chapter 7 Creditors is Consistent with the Congressional Intent and Legislative History of Section 503(b), Absent Clear Congressional Intent to Exclude Chapter 7 Awards……..25
C. Strong Policy Considerations and Equitable Principles of Bankruptcy Favors a Grant of Administrative Expenses in Cases Under Chapter 7 of the Bankruptcy Code.....26

CONCLUSION……..28

TABLE OF AUTHORITIES

United States Supreme Court Cases

Citizens Bank of Md. V. Strumpf, 516 U.S. 16 (1995)…… 12
Conn. Nat'l Bank v. Germain, 503 U.S. 249 (1992)……..10
Curtis v. Loether, 415 U.S. 189 (1974)……..26
Griffin v. Oceanic Contractors, Inc., 458 U.S. 564 (1982)…….. 15
King v. St. Vincent's Hosp., 502 U.S. 215 (1991)……10, 12
Lamie v. U.S. Trustee, 540 U.S. 526 (2004)…….. 27
Maggio v. Zeitz, 333 U.S. 56 (1948)……..16
NLRB v. Plasterers' Local Union No. 79, 404 U.S. 116 (1971)…… 25
Pa. Dep't of Pub. Welfare v. Davenport, 495 U.S. 552 (1990)……... 16, 17
Ransom v. FIA Card Servs., NA., 562 U.S. 61 (2011)…….. 10
United States v. Whiting Pools, 462 U.S. 198 (1983)…… ….14, 15

Other Federal Cases

Architectural Bldg. Components v. McClarty (In re Foremost Mfg. Co.),
137 F.3d 919 (6th Cir. 1998)…… 26
Denby-Peterson v. Nu2u Auto World, 2018 WL 5729907 (D.N.J. Nov. 1, 2018)…… *passim*
Frieouf v. United States (In re Frieouf), 938 F.2d 1099 (10th Cir. 1991)……..10
Mediofactoring v. McDermott (In re Connolly N. Am., LLC),
802 F.3d 810 (6th Cir. 2015)……..... *passim*
Microsoft Corp. v. DAK Indus., Inc. (In re DAK Indus., Inc.), 66 F. 3D 1091 (9th Cir. 1995)….19
Sharkey v. Stevenson & Bullock, PLC (In re Sharkey),
No. 17-11237, 2017 U.S. Dist. LEXIS 188689 (E.D. Mich. Nov. 15, 2017)……21
Thompson v. Gen. Motors Acceptance Corp., 566 F.3d 699 (7th Cir. 2009)……... 9
United States v. Inslaw, Inc., 932 F.2d 1467 (D.C. Cir. 1991)……...*passim*
United States v. Ledlin (In re Mark Anthony Constr.), 886 F.2d 1101 (9th Cir. 1989)…….22
WD Equip., LLC v. Cowen (In re Cowen), 849 F.3d 943 (10th Cir. 2017)……..... *passim*
Weber v. SEFCU (In re Weber), 719 F.3d 72 (2d Cir. 2013)…….. 14, 18

Bankruptcy Court Cases

Beker Indus. Corp. v. Fla. Land and Water Adjudicatory Comm'n (In re Beker Indus. Corp.), 57
B.R. 611 (Bankr. S.D.N.Y. 1986)……..11
In re Bernstein, 252 B.R. 846 (Bankr. D.D.C. 1996)…….. 13, 18
In re Hackney, 351 B.R. 179 (Bankr. N.D. Ala. 2006)……..21
In re Hall, 502 B.R. 650 (Bankr. D.D.C. 2014)…….. ..... *passim*
In re Health Trio, Inc., 584 B.R. 342 (Bankr. D. Colo. 2018)……...23
In re Javed, 592 B.R. 615 (Bankr. D. Md. 2018)……... 20, 26
In re Maqsoudi, 566 B.R. 40 (Bankr. C.D. Cal. 2017)……..23
In re Maust Transp., Inc., 589 B.R. 887 (Bankr. W.D. Wash. 2018)……..20, 25, 26, 27
In re Riding, 44 B.R. 846 (Bankr. D. Utah 1984)……..17
In re Stucka, 77 Bankr. 777 (Bankr. C.D. Cal. 1987)……11
In re World Mktg. Chi., LLC, 564 B.R. 587 (Bankr. N.D. Ill. 2017)…… ..19, 22
In re Zedda, 169 B.R. 605, 608 (Bankr. E.D. La 1994)…….24

Statutes

11 U.S.C. § 101……..19
11 U.S.C. § 102(3)……22
11 U.S.C. § 105(a)……26
11 U.S. C. § 362……...8
11 U.S.C. § 362(a)(3)……..... 9, 10, 11
11 U.S.C. § 363(e)……12, 13, 15
11 U.S.C. § 503……..19
11 U.S.C. § 503(b)……20
11 U.S.C. § 503(b)(3)(D)……...20
11 U.S.C. 503(b)(4)……... 20
11 U.S.C. § 507(a)(2)……19
11 U.S.C. § 542(a)…… 12, 14, 15
11 U.S.C. § 542(d)……15

Journal Articles

Brendan Chisolm, *Equity Will Rule Until Amendment in Section 503 Bankruptcy Administrative Expenses*, 85 U. CIN L. REV. 553 (2017)……...20
Ron Beal, *The Art of Statutory Construction: Texas Style*, 64 BAYLOR L. REV. 339 (2012)……22

Treatises

Black's Law Dictionary (5th ed. 2016)……. 21
New Oxford American Dictionary 15 (3d ed. 2010)……..11

OPINIONS BELOW

The decision and Order of the United States District Court for the District of Moot is unreported and set out in the Record. R. at 3[1]. The opinion of the United States Court of Appeals for the Thirteenth Circuit is also unreported and provided in the Record. R. at 2-32.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STANDARD OF REVIEW

This Court reviews a bankruptcy court's decision directly, and not the appellate court's review of the bankruptcy court's decision. *Charbono v. Sumski (In re Charbono)*, 790 F.3d 80, 84-85 (1st Cir. 2015). The facts set forth herein are not disputed by the parties. Rather, the issues involve questions of law. Thus, this Court's review is *de novo*. *Texas v. Soileau (In re Soileau)*, 488 F.3d 302, 305 (5th Cir. 2007). "Under de novo standard of review, the reviewing court decides an issue as if the court were the original trial court in the matter." *Razavi v. Commissioner of Internal Revenue*, 74 F.3d 125, 127 (6th Cir. 1996).

STATUTORY PROVISIONS INVOLVED

Section 362(a)(3) of the Bankruptcy Code provides:

> Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—
> (3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate.

Bankruptcy, 11 U.S.C. § 362(a)(3) (LexisNexis 2019).

Section 503(b)(3)(D) of the Bankruptcy Code provides:

> After notice and a hearing . . . administrative expenses, other than claims allowed under section 502(f) of this title, including . . . the actual, necessary

[1] "R" refers to Record on Appeal.

> expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—
> (D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title.

Bankruptcy, 11 U.S.C. § 503(b)(3)(D) (LexisNexis 2019).

STATEMENT OF FACTS

Backstreet Plowing, Inc. (the "Debtor") is a snow plow trucking business operated and wholly owned by Christopher "Big Man" Clemons ("Clemons"). R. at 3. In spring of 2015, the Debtor realized he needed to purchase newer and more efficient snow plow trucks to enable him to compete for a snow plowing contract with the City of Badlands ("Badlands"). R. at 3-4. Shortly after, the Debtor approached Milton Weinberg ("Respondent" or "Weinberg"), an acquaintance, to obtain a loan for the purchase of the trucks. R. at 4. Respondent agreed to give the Debtor the loan, hoping he would be repaid. R. at 4. The terms of the loan were that: 1) the Debtor would receive a loan for $450,000; 2) the Debtor would secure the loan by giving Weinberg an interest in the trucks; 3) the Debtor would personally guarantee the loan; and 4) according to the promissory note, the Debtor would make monthly payments beginning in December of 2015, when the business started to generate revenue. R. at 4.

In August of 2015, the Debtor purchased new trucks with Weinberg's loan. R. at 4. As a result, the Debtor won the plowing contract with Badlands. R. at 4. In the process, the Debtor outbid local competitors Tenth Avenue Freeze, Inc. ("Tenth Avenue") and Stone Pony Plowing LLC ("Stone Pony"). R. at 4. The business was profitable during the 2015-2016 season due to a mild winter, which required minimal costs to the company. R. at 5.

In December of 2015, Weinberg expected his first payment of the loan; however, the Debtor defaulted. R. at 5. In January of 2016, Weinberg again expected a payment, but the Debtor again defaulted. R. at 5. After not receiving a payment for February 2016, Weinberg contacted Clemons to inquire about the defaulted payments. R. at 5. In fact, Weinberg made several calls to Clemons to secure the money he was owed, but Clemons never responded. R. at 5. Later that same month, Weinberg drove to the Debtor's facility, but an argument ensued, and the Debtor was

removed from the premises. R. at 5. Following this interaction, in an effort to obtain payments from the Debtor, Weinberg sought legal remedies and sued both on the note and the personal guarantee. R. at 5.

Immediately after the suit, in May of 2016, the Debtor made fraudulent transfers of approximately $100,000 to his daughter's bank account. R. at 7. A few months after, in October of 2016, Weinberg obtained a default judgment against the Debtor and Clemons, jointly and severally, for the $450,000 plus interest and fees owed. R. at 5. The following winter of 2016-2017 brought increased snow and even more costs to the Debtor. R. at 5.

In late January of 2017, Weinberg hired a repossession company to collect on his judgment. R. at 6. After a successful repossession of the trucks, the company delivered them to a warehouse owned by Weinberg. R. at 6. On February 4, 2017, the Debtor filed a chapter 11 petition for bankruptcy. R. at 6. Shortly after the filing, the Debtor's attorney sent a demand letter to Weinberg requesting an immediate return of the trucks. R. at 6. Under the impression that the Debtor needed to file a turnover action to retrieve the trucks, Weinberg refused. R. at 6. In response to Weinberg's refusal, the Debtor filed a motion seeking a determination as to whether Weinberg's possession violated the automatic stay under the bankruptcy statute. R. at 6. The bankruptcy court ruled in favor of Weinberg, finding no violation of the automatic stay. R. at 6.

In March of 2017, the Debtor appealed the bankruptcy court ruling. R. at 6. Shortly after, the Debtor lost its future contracts with Badlands. R. at 7. Following these events, Clemons concluded that his efforts to reorganize the Debtor were futile; therefore, he converted his chapter 11 filing to a chapter 7 filing. R. at 7. Subsequently, Steve Vin Sant ("Trustee" or "Petitioner") was appointed to oversee the Debtor's estate and liquidate the property. R. at. 7. After the

conversion of the case, Weinberg pursued collection efforts on the Debtor's personal guarantee as part of the original agreement. R. at 7.

In May of 2017, Weinberg hired a collection law firm to examine Clemons' financials. R. at 7. In the course of that investigation, the Debtor's fraudulent transfer of $100,000 to his daughter was discovered. R. at 7. As a result of Weinberg's efforts in helping to investigate and uncover the fraud, the Trustee filed a complaint and recovered $75,000, benefiting the estate. R. at 7. Afterward, Weinberg sought from the bankruptcy court $25,000 as administrative expenses for his contributions to the chapter 7 estate. R. at 8. The court granted Weinberg's request. R. at 8.

In September 2017, Tenth Avenue offered to purchase the Debtor's assets, including the trucks. R. at 8. Because they were unable to come to an agreement, the offer was later withdrawn. R. at 8. Another competitor, Stone Pony, also offered to purchase the Debtor's assets for $100,000 minus the trucks. R. at 8. This time, an agreement was reached, and the bankruptcy court approved the sale. R. at 8-9. Even after this sale was approved, the Trustee pursued an appeal. R. at 9.

SUMMARY OF THE ARGUMENT

This Court should affirm the Thirteenth Circuit applying the minority rule to conclude that passive retention does not violate the automatic stay enforced by the Bankruptcy Code (the "Code"). This position is appropriate because it adheres most strongly to the statutory text and the accompanying rules of construction and interpretation. According to the plain language of 11 U.S.C. § 362(a)(3), only affirmative acts violate the automatic stay. This interpretation of the statute also provides for the most cohesive reading of the statute as a whole, without requiring other provisions to be reengineered to fit a new meaning.

According to section 362(a)(3), a person violates the automatic stay if he acts to obtain possession of property or acts to exercise control of property included in the estate. According to

plain language, "act" refers to affirmative conduct and does not include passive conduct. In order for a violation of this provision to occur, one would have to affirmatively try to obtain property or affirmatively try to gain control of property after the debtor has filed the petition for bankruptcy. Passive retention of property already repossessed prior to the bankruptcy petition is not included in section 362(a)(3) because it does not entail an affirmative act post-petition.

The Thirteenth Circuit's reading of the text is the most cohesive reading when understanding the Code in its entirety. The opposing position necessarily neglects additional provisions of the Code and requires that others be remanufactured. According to the most basic rules of construction, a provision should be read to achieve results that are consistent with the remainder of the statute. The lower court's reading provides this cohesion.

The Thirteenth Circuit's approach also maintains the integrity of 11 USC § 363(e), which grants rights to creditors to seek protection of interests they have in property. Under this provision, creditors with an interest in property of the estate are able to seek from the court a condition or prohibition on the sale of that property. The court then determines how to adequately protect the creditor's interests. The opposing reading of 11 USC § 362(a)(3) does not maintain this right of creditors, however. The opposing view, albeit the majority, reads passive retention as a violation. Under this reading, if a creditor does not immediately relinquish property of the estate, then he has violated the stay. This leaves no room for creditors to seek protection of their rights.

Adopting the opposing approach also requires retooling of another main provision of the Code, the turnover provision of 11 USC § 542(a). This provision provides a mechanism for the debtor to request third parties in possession of property of the estate to turn over that property to the estate. In order to force consistency in the Code, the opposing view reads this provision as being self-executing. This means that any third party with property of the estate must immediately

turn it over to the estate upon a filing of the bankruptcy petition. This is consistent with its reading that passive retention violates the automatic stay. However, this is neither consistent with the history of 11 USC § 542(a) nor with the text.

Before the Code was adopted, the bankruptcy courts were able to use their equitable powers of relief to enforce turnovers from debtors after a turnover action was filed. This practice was subsequently codified in the Code. 11 USC § 542(a) was enacted to provide a mirror provision for debtors and trustees to gain access to property being held by third parties. This provision carries the same weight as the original practice and did not remove the need for a turnover action. This turnover action allows the different provisions of the Code to work together. It allows the debtors to seek possession of their property while still leaving room for creditors to seek adequate protection of their interests. The opposing position ignores this history and assigns a completely new meaning to this provision.

The opposing position also neglects the actual text of the provision. Section 542(a) is subject to inherent limitations as well as limitations by other provisions of the Code. For example, according to the provision itself, a third party is not required to turn over property that is of inconsequential value to the estate. A third party does not need to turn over property that is automatic to pay a life insurance premium according to 11 USC § 542(d). And as previously noted, a third party is not required to turn over property without ensuring adequate protection of its interest. If 11 USC § 542(a) were self-executing, the Code would leave no room for these limitations or exceptions and would be self-contradictory.

The majority position relies on the self-executing power of 11 USC § 362(a) to show that third-parties who do not automatically surrender control of property are thereby exercising “control” over it, resulting in a violation of the automatic stay provision. But this reading is not

consistent with the plain language and is not consistent with the other provisions of the Code. The more reasonable view is the minority, which reads 11 USC § 542(a) as a mechanism for a debtor or trustee to file a turnover action and put any dispute in front of the court. This allows for the protection of creditors and an avenue for any disputed property to be addressed via the turnover action. This view recognizes that a less dramatic reading of "to exercise control" (including intangible property) is most faithful to the text.

This Court should also affirm the Thirteenth Circuit's decision granting administrative expenses to Weinberg for his substantial contribution to the chapter 7 bankruptcy litigation because the statutory language, principles of equity within the Code, and the totality of the circumstances all support an affirmative grant. The language of the statute, section 503(b), implicitly supports a grant of administrative expense because of the statute's use of the word "including" in the introductory paragraph of section 503(b). The addition of "including" strongly suggests that the legislature intended that the mention of chapter 9 and 11 within section 503(b)(3)(D) were merely to guide courts and not to restrict them. Further, the statute explicitly states that terms such as "includes" and "including" are not intended to be limitations on the interpretation of the statute. Additionally, the inclusion of the term "including" within the introductory paragraphs signifies that the law should be read broadly to give courts discretion in granting administrative expenses.

The explicit mention of chapters 9 and 11 within subsection (D)(3) does not preclude the award of administrative expenses in chapter 7 cases because concluding this would make the application of statutes outside its plain language unsustainable. In *Connolly*, the Sixth Circuit correctly held in favor of administrative expenses for creditors who make substantial contributions in a chapter 7 case because they relied on the totality of the circumstances, principles of equity and the statutory language of section 503(b). The *Connolly* interpretation should be controlling here

because it did not constrict itself to merely the plain language of the statute, but also took into account the plain language of the statute along with other equitable principles of encouraging chapter 7 creditors to continue to participate in the bankruptcy proceeding for the benefit of the estate.

Absent a clear intention from Congress, administrative expenses are warranted for substantial contributions made under a chapter 7 case, thus rendering the maxim of *expressio unius est exclusio alterius* (i.e., to express or include one thing implies the exclusion of another) superfluous. Congress could have expressly excluded chapter 7 cases from the statute; however, they did not. Congress could have made alterations to the statute following the *Connolly* decision; however, they did not. These facts coupled with the word "including" in the introduction lead to the conclusion that Congress intended to give judges discretion in awarding administrative expenses in bankruptcy cases—even if those cases are neither chapter 9 nor 11.

Strong policy considerations and principles of equity support an award for reimbursement to creditors, such as Weinberg, who made substantial contributions to the bankruptcy estate benefiting all interested parties. First, overarching principles of equity compel a reading of the statute that favors awarding administrative expenses because bankruptcy courts at their core are courts of equity. Second, the purpose of section 503(b)(3)(D) was not to discourage creditors who voluntarily make substantial contributions to the estate; rather, it is to encourage more creditors to pursue actions that benefit the estate and all other claimants.

The countervailing equitable principles citing avoidance of overlap and duplication of efforts by the trustee and the creditor are unwarranted for several reasons. First, this countervailing interest assumes that the presence of a trustee forecloses the door on a creditor making substantial

contributions. It does not. Second, even in a case where a trustee is present and is contributing to the estate, a creditor can still make substantial contributions.

The Thirteenth Circuit accurately held in favor of awarding administrative expenses to Weinberg—a creditor in a chapter 7 case— because as *Connolly* states, the totality of the circumstances, equitable principles of section 503(b)(3)D) and the Code as a whole, and the statutory language all fervently support an award. Its decision should therefore be affirmed.

DISCUSSION

I. THIS COURT SHOULD AFFIRM THE DECISION OF THE THIRTEENTH CIRCUIT COURT OF APPEALS TO FIND THAT PASSIVE RETENTION OF PROPERTY REPOSSESSED PREPETITION DOES NOT VIOLATE THE AUTOMATIC STAY PROVISION 11 U.S.C. 362(A)(3) BECAUSE THE STATUTORY LANGUAGE, HISTORY OF THE TEXT, AND CONGRESSIONAL INTENT DO NOT SUPPORT A VIOLATION.

This Court should affirm the Thirteenth Circuit's ruling because application of the Bankruptcy Code's automatic stay provision, 11 U.S.C. § 362(a)(3), in such a manner adheres most strongly to the text of the Code, the history of its development, and congressional intent. Section 362 is the Automatic Stay provision of the Code that outlines limitations on the actions and rights of creditors that arise after a debtor has filed a petition for bankruptcy. 11 U.S.C. § 362. The purpose of the automatic stay is to ensure that creditors do not destroy the bankruptcy estate while attempting to get relief. *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1473 (D.C. Cir. 1991). After a debtor files a petition for bankruptcy, the automatic stay prevents creditors from taking any action against him except through the bankruptcy courts. *WD Equip., LLC v. Cowen (In re Cowen),* 849 F.3d 943, 948 (10th Cir. 2017). Creditors that willfully violate an automatic stay are vulnerable to compensatory damages, attorney's fees, and, in some instances, punitive damages. *Inslaw,* 932 F.2d at 1473.

The automatic stay is applicable to "any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3). Prior to the Bankruptcy Amendments and Federal Judgeship Act of 1984, the provision only applied the stay to acts to obtain possession of property of the estate and did not include acts to exercise control over property of the estate. *Cowen*, 849 F.3d at 949. Circuits are divided as to how to interpret the amendment to this provision.

The majority position reads the fact that Congress expanded the provision beyond obtaining possession of an asset as an indication that Congress intended to include a stay of retention of assets repossessed prepetition. *Denby-Peterson v. Nu2u Auto World*, 2018 WL 5729907, at *8 (D.N.J. Nov. 1, 2018). This approach has been adopted by the Second, Seventh, Eighth, and Ninth Circuit Courts of Appeals. *Id.* Creditors violate the automatic stay when they do not take affirmative steps to return property repossessed before the debtor filed a petition for bankruptcy under this model. *Id.*; *see also Thompson v. Gen. Motors Acceptance Corp.*, 566 F.3d 699, 703 (7th Cir. 2009); *see also Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 81 (2d Cir. 2013). Unlike the view of the Thirteenth Circuit, the opposing position seems more concerned with practicality and policy than with the actual text of the Code. *Cowen*, 849 F.3d at 948-49; *see also In re Hall*, 502 B.R. 650, 653 (Bankr. D.D.C. 2014).

The Thirteenth Circuit takes the minority position—adopted by Tenth and District of Columbia Circuit Courts of Appeals—and finds no violation in passive retention of property repossessed prepetition. *Denby-Peterson*, 2018 WL 5729907, at 8. Rather, it sees the amendment as an expansion of the original text intended to include previously excluded actions that impact the bankruptcy estate but do not fall under actual possession. *Id.*

This approach is most faithful to the plain language of the text, the context of the provision in the Code in its entirety, the history of the Code, and the legislative intent. Therefore, this Court should uphold its ruling.

A. Reading the Statute According to Its Plain Language and In Context of the Bankruptcy Code In Its Entirety Indicates that Passive Retention Is Not a Violation of the Automatic Stay.

Under the basic rules of construction and interpretation, a statute should be read according to its plain language and in the context of the statute in its entirety. *Ransom v. FIA Card Servs., NA.*, 562 U.S. 61, 69 (2011); *King v. St. Vincent's Hosp.*, 502 U.S. 215, 221 (1991). Applying these two rules of construction to section 362(a)(3), passive retention of property repossessed prepetition is not a violation of the automatic stay.

i. According to the Plain Language of 11 U.S.C. § 362(a)(3), Prohibiting an "Act" Connotates Prohibition of Affirmative Conduct Indicating That Passive Retention Is Not a Violation.

When interpreting 11 USC § 362(a)(3) according to the plain meaning of the text, the automatic stay applies only to affirmative conduct after the petition for bankruptcy is filed. When the interpretation of a statute is in question, the inquiry must begin with the language of the statute itself. *Ransom v. FIA Card Servs., NA.*, 562 U.S. 61, 69 (2011). Where the language of a statute is plain and unambiguous, this is the beginning and the end of the inquiry, as the plain meaning should be enforced by the courts. *Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253-54 (1992); *Frieouf v. United States (In re Frieouf)*, 938 F.2d 1099, 1102-03 (10th Cir. 1991).

The word "act" modifies two clauses in 11 USC § 362(a)(3): there is a stay of (1) any act to obtain possession of property of the estate; and (2) any act to exercise control over property of the estate. 11 USC § 362(a)(3); *see also Cowen*, 849 F.3d at 949. The common definition of act is to "take action" or "do something." *New Oxford American Dictionary* 15 (3d ed. 2010) (primary

definition of "act"). Accordingly, 11 USC § 362(a)(3) institutes a stay on the following: (1) *to do something* to obtain possession of property of the estate; and (2) *to do something* to exercise control over property of the estate. 11 USC § 362(a)(3). These two prohibitions do not encompass doing *nothing* and passively holding onto assets of the estate. *Cowen*, 849 F.3d at 949. Therefore, the automatic stay is not applicable to the exercise of control over property of the estate, rather it is applicable to the *act to* exercise control over property of the estate. *Denby-Peterson v. Nu2u Auto World*, 2018 WL 5729907, at *10 (D.N.J. Nov. 1, 2018). The plain language suggests affirmative conduct rather than passive conduct. *Id.*; *see also In re Hall*, 502 B.R. 650, 653 (Bankr. D.D.C. 2014); *see also Beker Indus. Corp. v. Fla. Land and Water Adjudicatory Comm'n (In re Beker Indus. Corp.)*, 57 B.R. 611, 626 (Bankr. S.D.N.Y. 1986).

Additionally, the plain language of the statute indicates that the prohibited conduct is only applicable after the debtor files a petition for bankruptcy. *Inslaw* 932 F.2d at 1474. There is no language in the statute that refers to any conduct prepetition, and there is no language creating an affirmative duty for a creditor. *Id.* The restraint is applicable to acts *to gain* possession and control, and the automatic stay is triggered and effective only once the petition is filed. *In re Stucka*, 77 Bankr. 777, 782 (Bankr. C.D. Cal. 1987) (emphasis added). There is no case law before the 1984 amendment to suggest that the original clause ("any act to obtain possession of property of the estate…") applied to prepetition actions. *Denby-Peterson*, 2018 WL 5729907, at *10. Consequently, there is no reason to treat the amended language differently. *Id.*

When applying the plain language to the case at hand, Weinberg's passive retention of the Debtor's snow plow trucks does not violate the automatic stay. In October 2016, Weinberg was awarded a default judgment from his lawsuit on the note and the personal guarantee in the amount of $450,000 against the Debtor. R. at 5. Weinberg pursued collection of his judgment and

repossessed the snow plow trucks in late January 2017. R. at 6. The Debtor filed the chapter 11 petition on February 4, 2017. *Id.* The repossession of the snow plow trucks occurred prepetition, and there was no action to exercise control after the petition was filed. *Id.* Weinberg already had possession and control of the snow plow trucks prepetition, so there was no affirmative action conducted post-petition. *Id.*

Because the plain language of the statute indicates that the automatic stay prohibits particular affirmative conduct after the petition for bankruptcy is filed, Weinberg's passive retention of the snow plow trucks does not violate the automatic stay.

ii. 11 U.S.C. § 362(a)(3) Cannot Include Passive Retention of Property As a Violation of the Automatic Stay When Read In Context of the Bankruptcy Code In Its Entirety.

The best interpretation of a provision is one that considers the statute in its entirety and gives meaning that maintains the integrity of the other sections. It is a basic rule of construction and interpretation that a given provision will not be self-destructive of other provisions of the same statute. *Citzens Bank of Md. V. Strumpf*, 516 U.S. 16, 20 (1995). A court must examine statutory provisions as a whole, whether the language is plain or not, because the provisions are provided meaning within their contexts. *King v. St. Vincent's Hosp.*, 502 U.S. 215, 221 (1991). Here, there are two additional provisions that must be reconciled with an interpretation of section 362(a)(3). These are section 363(e), a provision protecting creditors' rights, and section 542(a), a provision outlining turnover of property of the estate. 11 U.S.C. § 363(e); 11 U.S.C. § 542(a). Read thoroughly and cohesively, the best interpretation of section 362(a) does not strip creditors of their protection and does not alter the turnover process after a debtor files a petition for bankruptcy.

Reading section 362(a) to include passive retention as a violation of the automatic stay would leave creditors with prepetition possession without the protection that section 363(e)

affords. Section 363(e) provides that "on request of an entity that has an interest in property…proposed to be used, sold, or leased, by the trustee, the court…shall prohibit or condition such use, sale, or lease…to provide adequate protection of such interest." 11 U.S.C. § 363(e). This provision requires that the trustee comply with any order by the court barring or conditioning collection or liquidation to protect the adequate interests of third parties. *In re Hall*, 502 B.R. 650, 659 (Bankr. D.D.C. 2014).

Viewing passive retention as a violation of the automatic stay leaves no room for section 362(a) to operate. If a creditor is required to turn over an asset before it has the opportunity to seek protection, then section 363(e) is rendered meaningless. *In re Bernstein*, 252 B.R. 846, 850-51 (Bankr. D.D.C. 1996). An appropriate reading of section 362(a)(3) would not destroy protection provided by another provision of the same Code. *Bernstein*, 252 B.R. at 851. "The right of adequate protection cannot be rendered meaningless by an interpretation of § 362(a)(3) …that would compel turnover even before an opportunity for the court's granting adequate protection." *Id.* The view of the Thirteenth Circuit allows the court sufficient leeway to determine whether and what kind of protection should be afforded. *Denby-Peterson v. Nu2u Auto World*, 2018 WL 5729907, at *14 (D.N.J. Nov. 1, 2018).

This reading also provides protection for both debtors and creditors. *Id.* at 13. The two goals of reorganization bankruptcy are to put a debtor in a position to rehabilitate his credit and to ensure that the debtor pays off his debts. *Id.* The view that passive retention is not a violation most closely protects both of these goals. *Id.* The debtor is still protected under the automatic stay provision against any action post-filing that would damage his claim to his estate, allowing for damages for wrongful conduct. *Id.* The debtor is also granted the right to assemble his estate and have assets distributed fairly among claimants. *Id.* Creditors' interests are protected pending court

direction. *Id.* Creditors are further protected from the harsh penalties associated with willful violations of the automatic stay. *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1473 (D.C. Cir. 1991). These penalties can include compensatory damages, costs, attorney's fees, and, in some instances, punitive damages. *Id.*

The opposing position that passive retention violates the automatic stay is premised on an inaccurate interpretation of section 542(a) and an inaccurate understanding of the impact that the amendment to section § 362(a)(3) has on section 542(a). The turnover provision in question, section 542(a) provides that "an entity, other than a custodian, in possession, custody, or control…of property that the trustee may use, sell, or lease…shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a). The opposing position finds that this provision is self-executing and requires that any holder of such property relinquish the property without any condition or further action. *Weber v. SEFCU (In re Weber)*, 719 F.3d 79, 81 (2d Cir. 2013). Despite not having possession of the property at the time of the petition, the opposing position reasons that the self-effectuating power of section 542(a) vests a possessory interest in the debtor, and any passive retention by a third party is an attempt to exercise control over the property, in violation of the automatic stay. *Id.* This position is inaccurate because, practically, there are too many limitations encumbering section 542(a) for it to be self-effectuating, and this reading of the text would lead to internal contradictions.

Section 542(a) cannot be self-effectuating because there are too many limitations encumbering it. *United States v. Whiting Pools*, 462 U.S. 198, 206 (1983). Turnover is not required when the property is of inconsequential value or benefit to the estate. *Id.*; 11 U.S.C. § 542(a). Turnover is not required when the holder of the property has transferred it in good faith before

knowing of the petition. *Whiting* 462 U.S. at 198; 11 U.S.C. § 542(c). And turnover is also not required when the transfer of the property is automatic to pay life insurance premium. *Whiting* 462 U.S. at 198; 11 U.S.C. § 542(d). By the very language of section 542(a), the provision is subject to section 363, including section 363(e). 11 U.S.C. § 542(a). This means that the turnover provision is subject to the protection of third parties who have an interest in the property in question. 11 U.S.C. § 363(e). "Accordingly, §542(a) is not self-executing in light of a creditor's right to raise its right to adequate protection as a defense." *In re Hall* 502 B.R. at 661. Claims of possessory interest via the turnover provision are also void when the property is held under claim of right. *Inslaw*, 932 F.2d at 1472. With all of the limitations restraining section 542(a), it is illogical that the provision should be interpreted as being self-executing. *Id.* at 1473. If a third party raises any of these defenses in good faith, even if the court determines that they are invalid, the party should not be found to have violated the automatic stay for having done so. *In re Hall* 502 B.R. at 663. These limits highlight the improbability that section 362(a) has the far-reaching scope that the majority view ascribes to it. *Inslaw*, 932 F.2d at 1473.

Additionally, reading section 362(a) to be self-effectuating would lead to contradictions within the Code. Interpretations of a statute that lead to "absurd" results should be dismissed for interpretations that are more consistent with the statute in its entirety. *Griffin v. Oceanic Contractors, Inc.*, 458 U.S. 564, 575 (1982). If sections 362(a)(3) and 542(a) were self-executing and required an automatic turnover, then even when turnover of property was not required under section 542(a) (because the property was inconsequential to the value of the estate), the third party in possession of the property would still be found to have violated the automatic stay. *In re Hall*, 502 B.R. at 666. This cannot be. *Id.* It is more consistent with the statute as a whole to read the

amendment to section 362(a)(3) as expanding the post-petition prohibitions and to read section 542(a) as a mechanism for filing a turnover action to determine the rights of the parties. *Id.*

In this case, Weinberg had prepetition control over the Debtor's snowplows. R. at 6. Weinberg has both a possessory interest in the snow plows and an interest linked to a final judgment that warrants protection under section 363(e). Weinberg is entitled to the protection of section 363(e) and should not be in danger of violating the automatic stay while he seeks that protection. Weinberg did not turn over the snow plow trucks when he received the request from the Trustee because he was under the impression that the Debtor needed to bring a turnover action in order to retrieve the trucks. R. at 6. Weinberg's understanding is consistent with the Thirteenth Circuit's position, the position that this Court should affirm. This position is most consistent with the statute as a whole, and protects the interests of both the debtor and the creditors.

B. Permitting Passive Retention Under the Automatic Stay is Consistent with the Legislative History of the Bankruptcy Code and Congressional Intent.

The best reading of the provisions is one that is consistent with legislative history and does not eradicate the historical approaches of bankruptcy law. The Code should not be read to "erode past practice" without "a clear indication that Congress intended such a departure." *Pa. Dep't of Pub. Welfare v. Davenport*, 495 U.S. 552, 563 (1990). Congress did not explain the amendment to section 362(a)(3); however, in order to keep consistency within the Code and respect the historical approach, passive retention should not be read as a violation. *Cowen*, 849 F.3d at 949.

The traditional turnover power of the bankruptcy court was rooted in the bankruptcy court's general equitable power to enforce turnover of property from the debtor to the trustee. *Maggio v. Zeitz*, 333 U.S. 56, 61-63 (1948). The codification of section 542(a) allows bankruptcy courts to use that same equitable power to enter a turnover order against third parties to relinquish property to the trustee rather than having to turnover property to the debtor who lacks the rights of the

trustee. *In re Hall*, 502 B.R. 650, 656 (Bankr. D.D.C. 2014). However, section 542(a) does not operate like a statutory injunction as does section 362(a). *Id.* If a third-party violates section 362(a), sanctions could result. *Id.* In contrast, under section 542(a), if a third-party does not comply, a turnover action is filed, and the court may order a turnover unless one of the defenses to turnover applies. *Id.* Sanctions do not automatically result. *Id.* at 657. This is consistent with the Thirteenth Circuit's view that section 542(a) is not self-effectuating. *Id.*

After section 542(a) was enacted, but before the 1984 revision to section 362(a)(3), no court viewed section 542(a) as being self-effectuating. *In re Hall*, 502 B.R. 650, 657 (Bankr. D.D.C. 2014). "Courts *uniformly* viewed § 542(a) as providing bankruptcy courts with the authority to order the turnover of collateral or other property of the estate, but with the courts authorized to require adequate protection of a secured creditor's interest before directing turnover." *Id.*; *see, e.g. In re Riding*, 44 B.R. 846, 848-49 (Bankr. D. Utah 1984). The Code should not be read to "erode past practice" without "a clear indication that Congress intended such a departure." *Pa. Dep't of Pub. Welfare v. Davenport*, 495 U.S. 552, 563 (1990). The historical analysis and progress of the Code show that section 542(a) was not intended to be self-effectuating. *In re Hall* 502 B.R. at 658.

It is also inconsistent with congressional intent to consider section 362(a)(3) to be self-effectuating and to consider "to exercise control over" to include passive retention of prepetition, repossessed property. First, if Congress were interested in addressing turnover conduct, it would have amended section 542(a) addressing the scope and procedure of turnover. *Denby-Peterson v. Nu2u Auto World*, 2018 WL 5729907, at *11 (D.N.J. Nov. 1, 2018); *see also Cowen*, 849 F.3d at 950. Instead, Congress amended the section devoted to prohibitions to post-petition conduct. *Id.* Second, if Congress wanted to write the new language in terms of an affirmative duty, it could

have. *Id.* at 10-11. Instead, Congress amended the "stay means stay, not go" provision of the text. *Cowen,* 849 F.3d at 949. It did not create an affirmative duty, but rather expanded a prohibition. *Id.* Additionally, it seems unlikely that Congress intended such harsh penalties to apply in the event of mistaken claims of rights in the property. *Id. See also Inslaw*, 932 F.2d at 1473 ("…cannot require that every party who acts in resistance to the debtor's view of its rights violates § 362(a) if found in error by the bankruptcy court"). These penalties can include compensatory damages, costs, attorney's fees, and, in some instances, punitive damages. *Id.*

The majority position relies on the self-executing power of section 362(a) to show that third-parties who do not automatically surrender control of property are thereby exercising "control" over it, resulting in a violation of the automatic stay provision. *Weber,* 719 F.3d at 81. This approach sees the amendment of section 362(a)(3)–the addition of the "to exercise control over property of the estate" clause–as expanding the prohibition to include creditors from retaining prepetition repossessions from debtors. *Cowen*, 849 F.3d at 949. This conclusion is reached despite there being no explanation of the amendment from Congress. *Id.*

Finally, and likely most importantly, there are far fewer sweeping conclusions to draw from the amendment than the majority's position that still maintains the integrity of the other provisions of the Code. *Id.* Since conduct to obtain control of property could easily be related to an act to obtain possession of property, the amendment could have been an attempt to tighten the reigns on the existing provision. *Bernstein,* 252 B.R. at 848. The idea of control could have been added to address intangible property that is not subject to possession such as intellectual property rights, causes of action, or contract rights. *Cowen*, 849 F.3d at 950. "Control" could refer to disallowing a creditor to sell property that they are already in possession of. *Id.* Control could broadly refer to

any attempt of a third party to direct and manipulate how a debtor should use his property. *Denby-Peterson*, 2018 WL 5729907, at *13.

Weinberg's retention of the trucks in the absence of a turnover order is consistent with the historical procedure of the bankruptcy courts. As it is consistent with the historical approach, this is not a violation of the automatic stay provision.

The rules of construction and interpretation indicate that in order to understand a statute one should look to the plain language of the statute, the entirety of the statute, and congressional intent. In applying these rules to section 362(a)(3), passive retention of property repossessed prepetition does not qualify as a violation. This approach is most consistent with the plain language of the text, the Code in its entirety, the history of bankruptcy procedure, and congressional intent. For these reasons, the Court should affirm the decision of the Thirteenth Circuit Court of Appeals.

II. THIS COURT SHOULD AFFIRM THE DECISION OF THE THIRTEENTH CIRCUIT COURT OF APPEALS GRANTING ADMINISTRATIVE EXPENSES TO WEINBERG IN A CASE UNDER CHAPTER 7 OF THE BANKRUPTCY CODE BECAUSE THE STATUTORY LANGUAGE, CONGRESSIONAL INTENT AND PRINCIPLES OF EQUITY BASED ON THE TOTALITY OF CIRCUMSTANCES ALL SUPPORT AN AFFIRMATIVE GRANT UNDER SECTION 503(B) OF THE CODE.

This Court should affirm the Thirteenth Circuit's grant of administrative expenses to Weinberg in this chapter 7 bankruptcy case because the statutory language, principles of equity, and the totality of the circumstances all favor such a grant. The Bankruptcy Code protects the rights of creditors, debtors, and the estate. *See generally* 11 U.S.C. §§ 101, *et seq*. In relevant part, section 503(b) of the Code allows bankruptcy courts and judges to award administrative expenses in certain instances and to certain persons, to be paid from the bankruptcy estate. 11 U.S.C. § 503.

Section 503(b) is the section of the code that allows for the recovery of administrative expenses within specific categories of the code. 11 U.S.C. § 503(b).

Claims to administrative expenses are significantly important because these claims have a higher priority than almost any other type of claim. *See* 11 U.S.C. § 507(a)(2). The claimant has the burden of proving the award of an administrative expense and the standard of proof is by a preponderance of the evidence. *Microsoft Corp. v. DAK Indus., Inc. (In re DAK Indus., Inc.)*, 66 F. 3D 1091, 1094 (9th Cir. 1995); *see In re World Mktg. Chi., LLC*, 564 B.R. 587, 595 (Bankr. N.D. Ill. 2017). Bankruptcy courts are generally directed to strictly interpret the award of administrative expenses because allowance of these fees reduces the available funds for distribution to other claims. *Id.* at 1094.

Awards of administrative expenses are based on the unique facts of the case and not solely the specifically enumerated categories within section 503(b). *In re Maust Transp., Inc.*, 589 B.R. 887, 897-98 (Bankr. W.D. Wash. 2018); s*ee also* Brendan Chisolm, *Equity Will Rule Until Amendment in Section 503 Bankruptcy Administrative Expenses*, 85 U. CIN L. REV. 553, 556-562 (2017). In the beginning paragraph of section 503(b), the term "*including*" symbolizes the non-exclusive nature of the list. 11 U.S.C. § 503(b) (emphasis added). Even with this term in the prefatory paragraph of section 503(b), circuits are divided as to whether creditors in a chapter 7 case are eligible for administrative expense fees for substantial contributions. *In re Javed*, 592 B.R. 615, 619 (Bankr. D. Md. 2018). Sections 503(b)(3)(D) and (b)(4) address whether creditors are eligible for an administrative expense but neither explicitly mention that chapter 7 creditors are among the eligible group. 11 U.S.C. § 503(b)(3)(D); *see also* 11 U.S.C.(b)(4).

The majority of courts appear to reject any claim for substantial contribution by creditors in a chapter 7 case. *See, e.g., Lebron v. Mechem Fin., Inc.*, 27 F.3d 937, 945 (3d Cir. 1994); *Mosier*

v. Kupetz (In re United Educ. & Software), 2005 WL 6960237, at *5 (B.A.P. 9th Cir. Oct. 7, 2005); *Suplee v. Bethlehem Steel Corp. (In re Bethlehem Steel Corp.)*, 479 F.3d 167, 172 (2d Cir. 2007). These courts use section 503(b)(3)(D)'s explicit references to chapters 9 and 11 proceedings to exclude claims under Chapter 7 cases. *In re Maust Transp., Inc.*, 589 B.R. at 897. These courts cite the principle of *expressio unius est exclusio alterius*, ("the expression of one thing is the exclusion of another") to exclude chapter 7 claimants. *Expressio unius est exclusio alterius*, Black's Law Dictionary (5th ed. 2016); *see also In re Hackney*, 351 B.R. 179, 203 (Bankr. N.D. Ala. 2006); R. at 28.

Other courts like the Thirteenth Circuit take a more "flexible approach, considering the totality of the circumstances when analyzing any given administrative expense request" brought under section 503. *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 814 (6th Cir. 2015). *See, e.g.*, *In re Javed*, 2018 WL 4955839, at *4 (Bankr. D. Md. Oct. 11, 2018); *In re Maust Transp., Inc.*, 589 B.R. 887, 898-99 (Bankr. W.D. Wash. 2018); *In re Health Trio, Inc.*, 584 B.R. 342, 353-54 (Bankr. D. Colo. 2018); *In re Maqsoudi*, 566 B.R. 40, 44-45 (Bankr. C.D. Cal. 2017). These courts cite overriding principles of equity in the Code, the statutory language, and the totality of the circumstances to lead to the conclusion that section 503(b) allows for administrative expenses, even in chapter 7 cases. *In re Connolly N. Am., LLC*, 802 F.3d at 814. Courts following the *Connolly* decision have broadened its scope to even grant administrative expenses to creditors who make substantial contributions in cases under chapter 13 proceedings. *See, e.g.*, *Sharkey v. Stevenson & Bullock, PLC (In re Sharkey)*, No. 17-11237, 2017 U.S. Dist. LEXIS 188689, at *24 (E.D. Mich. Nov. 15, 2017).

In the present case, Petitioner concedes that Weinberg's investigation—uncovering the Debtor's fraudulent transfers—substantially contributed to the estate. However, Petitioner relying

on the majority approach errantly argues that administrative expenses are not allowed in a chapter 7 case for a substantial contribution by a creditor. Regardless, the minority approach has the best formula to answer whether 11 U.S.C. § 503(b) permits grants of an administrative expense for a substantial contribution in a chapter 7 case because this approach accounts for the statutory language, the legislative intent, and examines the totality of the circumstances. Therefore, this Court should affirm the Thirteen Circuit's grant of administrative expenses.

A. The Statutory Language and Construction Implicitly Supports an Award of Administrative Expenses in a Chapter 7 Case Where as Here, Weinberg Makes a Substantial Contribution for the Benefit of the Estate.

The Thirteenth Circuit's decision to award Weinberg an administrative expense for his substantial contribution in this chapter 7 bankruptcy case is consistent with the statutory language of this section. The starting point in interpreting the statute and determining whether the applicant has met their burden is the plain language of the statute. *In re World Mktg. Chi*., LLC, 564 B.R. at 595. The text of section 503 seemingly presents two contradictory perspectives. *United States v. Ledlin (In re Mark Anthony Constr.)*, 886 F.2d 1101, 1106 (9th Cir. 1989). On the one hand, section 503 lists a series of administrative expenses which should be treated as first priority. *Id.* at 1106. Typically, when a statute specifies a series of items included under the general rule, it invokes the maxim of "*expressio unius est exclusio alterius"* from which courts can infer an intention to restrict the statute's interpretation only to the listed items. *Id.* Counter, the structure of section 503(b) with the term "including" in the preamble is "significant, and generally thought to imply that terms listed immediately afterward are a non-exhaustive list." *Id. See* Ron Beal, *The Art of Statutory Construction: Texas Style*, 64 BAYLOR L. REV. 339, 367-98 (2012) (explaining that when a statute uses the term "including," the court views it as the legislature setting forth "a requirement . . . to be one of enlargement rather than a term of limitation or restriction.").

Even the statute explains in sections 102(3) that the terms "includes" and "including" are not limiters. *See* 11 U.S.C. § 102(3). Additionally, Congress's "failure to expressly [state]" that an expense is allowable under section 503(b) does not mean it is excluded. *In re Connolly N. Am., LLC*, 802 F.3d at 815. Concluding that subsections of section 503(b) are "non-exhaustive while [also] concluding that subsections of 503(b)(3) [are] exhaustive would make the application of the statutes outside its plain language untenable." *In re Maqsoudi*, 566 B.R. 40, 44 (Bankr. C.D. Cal. 2017). *See also In re Health Trio, Inc.*, 584 B.R. 342, 354 (Bankr. D. Colo. 2018) (holding that an accountant was entitled to administrative expenses in a chapter 7 bankruptcy case where the accountant made substantial contributions through his services rendered to the debtor).

The seminal case espousing the more recent trend in favor of administrative expenses is the Sixth Circuit case of *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*. 802 F.3d at 810. In *Connolly*, the court held that a creditor whose actions in a chapter 7 case significantly increased the dividend to itself and other unsecured creditors could be awarded a substantial contribution claim. *Id.* There, three unsecured creditors applied for administrative fees after they successfully contributed to the chapter 7 bankruptcy estate by filing for the removal of a trustee who the lower court had found to be grossly negligent. *Id.* at 813-14. The *Connolly* court held—citing principles of statutory construction—that the categories of administrative expenses within section 503 were not exhaustive because of the statute's use of the word "includes" in the introductory paragraph, thereby providing flexibility for courts to award administrative expenses not specifically enumerated. *Id.* at 816. Ultimately, the court relied on the statutory language along with principles that account for the "totality of the pertinent facts . . . and relevant equitable considerations," to conclude that chapter 7 creditors could receive administrative expenses for substantial contributions made. *Id.* at 815.

Even before *Connolly*, courts like those in *In re Zedda* held in favor of granting administrative expenses to a chapter 7 creditor under section 503(b) because the court found the term "including" was an illustration of the "types of administrative claims . . . permitted, not a limitation on what can be determined." *In re Zedda*, 169 B.R. 605, 608 (Bankr. E.D. La. 1994). In *Zedda*, a creditor requested an administrative expense for its legal fees incurred in connection with helping the trustee file a fraudulent conveyance complaint which resulted in a judgment of $54, 383.57 for the estate. *Id.* at 607. The court concluded that creditors could receive administrative expenses because they "substantially benefitted the estate and assisted in the recovery of assets …" *Id.* at 608.

Here, the Thirteenth Circuit correctly awarded Weinberg administrative fees for his substantial contribution. The Thirteenth Circuit properly concluded that the explicit mention of chapter 9 and 11 within section 503 should not act as a per se bar because the inclusion of the term "including" within the introductory paragraph of section 503(b) signifies that the law should be read broadly to give courts discretion in granting administrative expenses in cases arising under the Code. The Thirteenth Circuit appropriately held that the list within section 503(b)(3)(D) is a non-exhaustive list, and the plain language of the statute never expressly excludes recovery of administrative expenses by chapter 7 creditors. Like *Zedda*, Weinberg also assisted the trustee in investigating a fraudulent claim which ultimately benefited the estate. Therefore, Weinberg was entitled to the administrative expense for his substantial contributions in this chapter 7 bankruptcy case, and the statutory language implicitly supports such a finding.

B. The Award of Administrative Expenses to Chapter 7 Creditors is Consistent with the Congressional Intent and Legislative History of Section 503(b), Absent Clear Congressional Intent to Exclude Chapter 7 Awards.

Absent clear congressional intent, administrative expenses are warranted for substantial contributions made in chapter 7 cases. If Congress intended to bar the award of administrative expenses in chapter 7 cases, Congress would have expressly excluded them from section 503(b). *See* R. at 19. This failure—coupled with the statutory language and its construction—warrants an award of substantial contribution in this chapter 7 bankruptcy case. Nowhere in the plain language of section 503(b)(3)(D) is it stated that "expenses incurred by a creditor in securing the removal of a Chapter 7 trustee are not allowable," nor does it state that a creditor cannot receive expenses for making a substantial contribution in a chapter 7 litigation. *In re Connolly N. Am., LLC*, 802 F.3d at 815.

Courts should be cautious in adopting laws based on congressional silence alone. *NLRB v. Plasterers' Local Union No. 79*, 404 U.S. 116, 130 (1971). However, Congress was fully capable of stating that section 503(b) excludes reimbursement, but failed to do so. *In re Connolly N. Am., LLC*, 802 F.3d at 818. Absent a clear intention to disallow administrative expenses, such should "rise and fall based on the facts of the case." *In re Maust Transp., Inc.*, 589 B.R. at 898. The legislative history of section 503(b)(3)(D) "indicates Congress's intent[ion] was to resolve the problem occurring in Chapters 9 and 11 [cases]" and was not to "exclude the allowance of . . . fees [under] Chapter 7." *Id.* Congress explicitly mentions chapter 9 and 11 within section 503(b)(3)(D) because these cases typically require a creditor to spend their resources and time to benefit the estate. *In re Connolly N. Am., LLC*, 802 F.3d at 817. However, in a typical chapter 7 case, the trustee is assigned to fulfill a role that benefits the estate. *Id.*

Here, one can reasonably infer from the absence of congressional intent that an administrative expense is permissible for Weinberg's substantial contribution. The Thirteenth Circuit correctly held that cases, such as here, where Weinberg makes a substantial contribution thereby "enhanc[ing] the pool of funds for available creditors" should be granted an administrative expense. *See* R. at 20. Therefore, Weinberg's contribution should not be without reimbursement.

C. Strong Policy Considerations and Equitable Principles of Bankruptcy Favor a Grant of Administrative Expenses in the Chapter 7 context.

The Thirteenth Circuit correctly held administrative expenses for a substantial contribution could be awarded in a case under chapter 7 of the Code because principles of equity both broadly relating to the Code and to section 503(b) supports such a conclusion. Bankruptcy courts are courts of equity. *Curtis v. Loether*, 415 U.S. 189, 195 (1974). Even though these equitable powers are not within boundaries, "[court's] decisions are unimpeachable so long as these powers 'are exercised within the confines of the Bankruptcy Code.'" *In re Connolly N. Am., LLC*, 802 F.3d at 818 (citing *Architectural Bldg. Components v. McClarty (In re Foremost Mfg. Co.)*, 137 F.3d 919, 924 (6th Cir. 1998)). In expressing the spirit of equity, the statute allows bankruptcy courts to "issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title." 11 U.S.C. § 105(a). Specifically, the purpose of section 503(b)(3)(D) is to encourage creditors regardless of the bankruptcy case to "'substantially contribute'" to the estate by "pursuing funds that will be available for the distribution to all claimants." *In re Maust Transp., Inc.*, 589 B.R. at 898. The statute was not meant to bind courts. *Id.* Rather, it was meant to give courts the ability to "fashion a remedy that will foster rather than hinder" creditors' actions "for the benefit of the estate." *Id.* at 898-99.

Failing to award "administrative expenses to the rare chapter 7 creditors who are forced by circumstances" to take actions that benefit the bankruptcy estate when no other party was willing to do so would "deter them from participating in bankruptcy cases and proceedings." *In re Connolly N. Am., LLC*, 802 F.3d at 818. Though there are countervailing policy interests intending to stop creditors from suffocating a debtor's financial breath during bankruptcy, a creditor should nonetheless be allowed to rebut this presumption. *In re Javed*, 592 B.R. 615, 622 (Bankr. D. Md. 2018). Creditors must have the chance to rebut and "demonstrate that [their] actions were not [to] . . . thwart or impede the chapter 7 process," but were for the ultimate benefit of the estate. *Id.* While it is true that the award of substantial contributions should be limited as to "avoid overlap and duplication of efforts with those of the trustee," there are cases where a creditor can still provide substantial contribution even with the efforts of the trustee. *In re Maust Transp., Inc.*, 589 B.R. at 899.

The Thirteenth Circuit correctly stated that "failing to award an administrative expense to a creditor like Weinberg, who takes action to benefit the estate" would deter creditors like him from participating in chapter 7 cases. *See* R. at 20. It would be inequitable for a creditor like Weinberg to exercise substantial efforts in uncovering the fraudulent transfers and receive no reimbursement. This Court's decision may incentivize creditors—regardless of the bankruptcy proceeding—to make substantial contributions for the benefit of the estate consistent with the Code's principles. Like *Maust* expresses, the mere presence of Petitioner as trustee does not foreclose the door on creditors, like Weinberg, from making substantial contributions. Even if the trustee is contributing to the estate, creditors like Weinberg can still substantially contribute. Permitting the recovery of administrative expenses by chapter 7 creditors like Weinberg

encourages more creditors to actively participate in benefiting the estate rather than disincentivizing them.

Even if we rely on the plain language of the text of section 503(b), administrative expenses would still be allowed to creditors who make substantial contributions in cases under chapter 7 of the Code. When the language of the statute is plain, the sole function of the court is to enforce the statute according to its terms. *Lamie v. U.S. Trustee*, 540 U.S. 526, 534 (2004). The court in *Connolly* does not disregard the plain meaning of the statute simply because it chooses to interpret the statute in its entirety rather than in a restrictive manner that limits interpretation only to section 503(b)(3)(D). *Connolly* reinforces that there was never a mention that chapter 7 creditors be excluded from collecting administrative expenses. Nowhere does the statute express that chapters 9 or 11 bankruptcy cases are the only cases where administrative expenses can be awarded. Therefore, interpreting the statute even by its plain language permits chapter 7 creditors to receive administrative expenses. This Court should affirm the decision of the Thirteenth Circuit because the statute, principles of equity and public policy support such a grant of an administrative expense.

CONCLUSION

For the foregoing reasons, this Court should affirm the decision of the Thirteenth Circuit.